

First, let's complete the DCF model

For this task we need you to build a simple DCF model based on the projections provided by the company and then present your findings in a powerpoint.

Your associate has emailed you:

- some instructions about assumptions to use,
- a previous model template that you can start with, and
- the projections from the company (see below).
 - Please disregard the historical financials for 2018–19 and estimates for 2020 that were provided in the previous task and use these updated financials and projections instead.

Note that **you have a choice** between starting with the 'advanced' template where there is very little information provided, or the 'basic' template where more formulas and instructions are already populated. We suggest starting with the hard one and then moving to the easy one if you get stuck after 5 – 10 minutes.

Email from associate:

Hi there,

Just spoke to Anna and we agreed that this model for the round 1 bid does not need to be too fancy – we just need an indication of the DCF valuation and an accompanying slide outlining the summary results and key assumptions used. But it does look like we need to get it across to them ASAP.

Would be great if we could run the DCF model and put a simple summary slide together so we can send to them. You can find two versions of past models we have used for them below. Feel free to leverage either. Would maybe suggest starting off with the 'advanced' version as it will help you practice but please shift to the 'basic' version if you get stuck – it is more straightforward. You will see that the spreadsheets include instructions as to the steps that need to be taken. These will indicate different steps that need to be taken in each tab so feel free to refer to these as you go. They are noted and applicable to cells shaded in dark orange for both the 'basic' and 'advanced' version, and the 'advanced' version includes some additional instructions noted and applicable to cells shaded green and blue.

The template slide is also below. In terms of the assumptions, please use the ones noted below. You will need to leverage these for DCF input tabs under key assumptions (at top) and sensitivity analysis (at bottom). The assumptions tab is already updated. We can take a look together this afternoon before we submit.

Please let me know of any questions!

Assumptions:

- Current share price (c): 165.0
- NOSH (m): 199.0
- Market cap (\$): 328.4
- Net debt/(cash) (\$m): 84.6
- Minority interests (\$m), pension liability (\$), investment in associates (\$): 0
- Perpetuity growth rate: 0.5%
- Perpetuity growth rate step-up: 0.25%
- EBITDA multiple: 8.5x
- EBITDA multiple step-up: 0.5x
- WACC: 8.5%
- WACC step-up: 0.50%
- Use NPV based on perpetuity growth method
- Company forecasts for 2020 – 2025 also included below.